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Study Notes

Structure of the Indian Rural Economy

Rural Economy in Nutshell

Rural Economy	
Farm Activity	Non-Farm Activity
Agriculture	All other economic activities
Forestry	Handicrafts, Repairs, Construction
Livestock	Quarrying & mining
Fisheries	Household & non household manufacturing
	Transport, communication etc

India is primarily a rural country with almost **65 per cent of country's population and 56.9 per cent of labor force inhabits in rural areas (according to 2011 census (Periodic Labour Force Survey May 2025))**

- Rural economy comprises 46 per cent of national income. Regardless of the rise in urbanization, it is projected that more than half of India's population would still be rural by 2050. Consequently, rural economy's growth and development and its population form key to overall growth and inclusive development of our country.
- Contrary to the common perception about the preponderance of agriculture in rural economy, it's been found that, **about two third of rural income is now generated from non-agricultural activities.**
- Since ages, the Indian village has been a self-contained and self-sufficient economy.

Rural Economy in India: Introduction

- Post-Independence period witnessed reconstruction and development of rural India as a pivotal role in economic planning, which has caused a rapid transformation in the structure of Indian rural economy.
- Several various welfare services were initiated, such as launching Primary healthcare centers, opening up of schools, improving the means of transport and communication, and spread of mass media services to rural areas, etc. These welfare services have significantly affected the rural life.

Features of Rural Economy

Following are few of the distinguished features of the present-day rural economy in India

1. Commercialization of Agriculture:

- Now a days, a large part of rural economy has been opened up, which has made commercialization of agriculture possible.

- The key factors that contributed to the commercialization of agriculture are:
 - Huge production and good productivity gains have steered agriculture to be a profitable proposition.
 - Advanced technology in agricultural operations has increased the production to a great extent.
 - Vast expansion of road transport reduced the distance between Urban and Rural areas.
 - Development of cooperative marketing structure coupled with regulated markets has helped the farmers get respite from village system of adthiyas/middlemen and private moneylenders.

2. Urbanism and its impact on Rural society:

- The past seven decades, post-independence to India, especially in the 21st century, India has witnessed the rural society, getting exposed to the waves of urbanism.
- Rural society has imbibed most of the features of urban areas which have been modified and diluted, which led to a new trend of urbanism called rural-urbanism.
- Rural urbanism has created new social institutions, that were absent in the customary rural set up, which led to modernization of rural society.

Two reasons can be accredited for such a situation.

- I. Interaction of the rural folk with their urban counterparts has created awareness about consumer goods among them, coupled with green revolution, wherein the income levels of the rural people have increased, which made such consumption of goods possible.
 - II. The introduction of modern agricultural technology has resulted in the green revolution, which supplied the industrial goods such as fertilizers, machinery, etc.
- Current day, rural India is seen as the potential market to the industrial goods. Rural areas have been seeing many industries flourishing in their areas, which are considered to be rich in the resources needed for the setting up of such industries.

3. Institutional Participation:

- Post-independence, the government had taken the charge of rural reconstruction and development. It had also brought about important changes in the relations of production.
- Abolition of middlemen/intermediaries, tenancy security, ceiling on land holdings, etc., were some of the important legislations made, that improved the relations of production.
- Numerous rural development programmes have been taken up. These programmes contributed tremendously in bringing about modernization in villages and village folk.

Components of rural economy

I. Agriculture and allied sector

II. Non-farm sector viz, small scale & Cottage industries

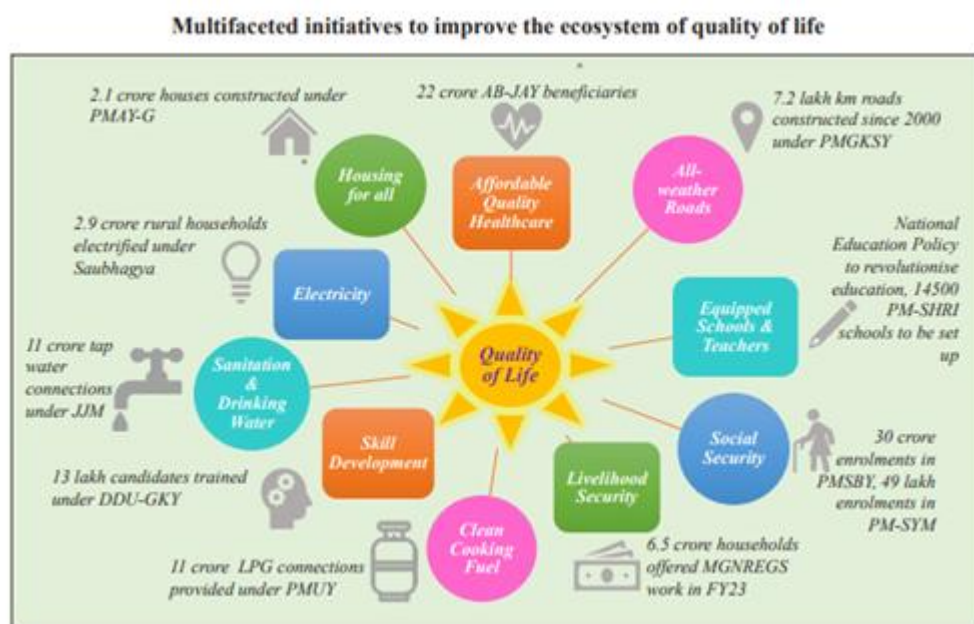
III. Rural consumer - perspective of FMCG & Durable goods industries.

- India is predominantly an agrarian society with **two third of its population living in rural areas**. Rural economy has conventionally been associated with agriculture.
- **Agriculture and related activities are the main source of livelihood** for the rural folk. Hence, the performance of agriculture sector, plays a critical role in the economic growth of our country.
- **Allied activities of agriculture include livestock that provide milk and by-products** of milk, meat and by-products of meat, forming a major supplier of food, raw materials, semi-finished and finished products.
- **Another significant nature-based activity that largely forms a distinct sector**, associated with agriculture, is Forests. Its key products include industrial and fuel wood of different types used for numerous purposes and in innumerable ways.
- Apart from the above, there are minor forest produce viz, **Canes and Bamboos, Bidi leaves, Honey, Lac etc.**
- Besides this, another sector of agriculture includes - **fishing, comprising of both Marine fish and Inland/Freshwater fish.**
- The rural economy is also dependent on village/rural industries. **These are mostly traditional industries and are conventionally artisan based. The products include Handicrafts, Khadi, Leather and many more.**
- The indirect businesses/industries thriving entirely on **agriculture and allied activities are Fertilizer industry, pesticide industry, seed industry, tractor/field equipment manufacturing industry.**
- **Rural India's non-farm sector is estimated to be over Rs. 45,000 crores, including the Field equipment/tractors business.** India's low consumption of fertilizers, and pesticides, high-yielding varieties, when compared to other countries indicates a huge potential for creating employment and increase income of the rural folk in the rural areas.
- **Village and small industries (VSI) sector consisting of two broad sub-sectors, viz, modern small industries and traditional industries**, is instituted by eight specific groups' viz. Handicrafts, Handloom, Sericulture, Coir, Village Industries, Khadi, Power looms and Small-Scale Industries. The last two items represent the modern group of industries, the others being traditional industries.

CONTRIBUTION OF RURAL AREAS IN INDIAN ECONOMY (Acc to Economic survey 2024-25)

- The Survey notes that **65 per cent (2021 data) of the country's population lives in the rural areas and 46.1 per cent of the population is dependent on agriculture for livelihood.**
- Thus, the focus of the government on rural development is imperative. The Government's emphasis has been on improving the quality of life in rural areas to ensure more equitable and inclusive development.
- The aim of engagement of the government in the rural economy has been **"transforming lives and livelihoods through proactive socio-economic inclusion, integration, and empowerment of rural India."**
- The Survey refers to the agriculture sector, which in recent years has shown robust growth, averaging 5 per cent Annually from FY17 to FY23, demonstrating resilience despite challenges..

- Women empowerment has also gained momentum, with visible progress in female participation in household decision-making, owning bank accounts, and use of mobile phones.



The Survey notes a multi-pronged approach to raise the rural incomes and quality of life through different schemes.

Livelihood, Skill Development

- **The Deendayal Antyodaya Yojana-National Rural Livelihood Mission (DAY-NRLM)**, aims to enable economically weak households to access gainful self-employment and skilled wage employment opportunities resulting in sustainable and diversified livelihood options for them. **This is one of the world's largest initiatives to improve the livelihoods of the poor.**
- Rural women are at the core of the program which is extensively focused on their socio-economic empowerment. Self Help Group (SHG) members have been trained as Community Resource Persons (CRPs) (**viz. Pashu Sakhi, Krishi Sakhi, Bank Sakhi, Bima Sakhi, Poshan Sakhi etc.**) help in the implementation of the Mission at the ground level.
- The Mission has Mobilised 10.05 **Crore rural poor Households into 90.90 lakh SHGs, 5.96 lakh Vos and 32,439 CLFs in 7,143 blocks .**
- 1.37 lakh Women members positioned as banking correspondent sakhi.
- More than 2.64 crore households have agri-nutri gardens.
- Under **Mahatma Gandhi National Rural Employment Guarantee Scheme (MGNREGS)** a total of 42.77 crore average person days per household have been provided and a total of 220.11 crore person-days employment has been generated under the Scheme (2024-25).
- Women participation rate in MGNREGA is 57.97 %.
- 99.98 per cent payments are through National Electronic Fund Management System, wages are transferred under DBT, Aadhaar-based payment has Been enabled for 96.3 per cent of total active workers, 99.23 per cent of total successful Transactions for

wage beneficiaries has been processed through APBS (Aadhaar Payment Bridge System) in Dec 2024 and social audit units have been set up in 28 states/Uts.

- These works include creating household assets such as animal sheds, farm ponds, dug wells, horticulture plantations, vermicomposting pits etc., in which the beneficiary gets both labour and material costs as per standard rates.
- The modified **Credit Guarantee Fund Scheme for Skill Development (CGFSSD)**, or Model Skill Loan Scheme, was notified by the MSDE On 9 July 2024. Key changes include. The maximum loan limit was raised to ₹7.5 lakh (from ₹1.5 lakh). Guarantee coverage now varies: 75 per cent for loans up to ₹4 Lakh; 70 per cent for ₹4–7.5 lakh loans. Eligible lenders expanded to include NBFCs, NBFC-MFIs, and Small Finance Banks.

Women Empowerment

- The transformative potential of Self-Help Groups (SHGs), exemplified through their key role in the on-ground response to Covid-19, has served as the fulcrum of rural development through women empowerment. India has around 1.2 crore SHGs, 88 per cent being all-women SHGs.
- The **SHG Bank Linkage Project (SHG-BLP)**, launched in 1992, has blossomed into the world's largest microfinance project. The SHG-BLP covers 14.2 crore families through 119 lakh SHGs with savings deposits of Rs. 47,240.5 crore and 67 lakh groups with collateral-free loans outstanding of Rs. 1,51,051.3 crore, as on 31 March 2022.
- The number of **SHGs credit linked** has grown at a CAGR of 10.8 per cent during the last ten years (FY13 to FY22). Notably, SHGs' bank repayment is more than 96 per cent, underscoring their credit discipline and reliability.
- The share of women among those trained under PMKVY has Increased from 42.7 per cent in 2015-16 to 58.0 per cent 2024-25.
- A total of 3997 Gender Resource Centres (GRCs) are operating across 18 States and Uts under DAY-NRLM, empowering women and gender-diverse persons to address Violence and access their rights.
- In rural areas, female agricultural employment rose from 73.2 per cent in 2017-18 to 76.9 in 2023-24 per cent, while male participation decreased from 55.0 per cent To 49.4 per cent, reflecting a shift towards non-agricultural sectors during the same Period

Housing For All

- Providing housing for economically deprived rural households has long been Integral to India's development strategy. Aligning with SDG Goal 11.1 on 'Safe and Affordable housing' and India's vision of 'Housing for All', The **Pradhan Mantri Awaas Yojana –Gramin (PMAY-G)** was launched in **November 2016**. The Scheme has been extended to construct an additional two crore rural houses over the next Five years, i.e. till 2029
- PAHAL – a repository of designs of housing typologies that are suitable to different regions/States has been developed and made available to the beneficiaries.
- A rural mason training programme has been developed In partnership with the Construction Skill Development Council of India (CSDCI) and the National Skill Development Corporation (NSDC) and launched as part of the scheme to Improve the

availability of skilled/trained masons in rural areas for construction under the Scheme and other works.

- The scheme reserves a minimum of 60 per cent of targets for SC/ST households, with 59.58 Lakh SC houses and 58.57 lakh ST houses completed. Five per cent of the target is reserved For differently-abled beneficiaries, and another five per cent prioritises housing for families Affected by natural disasters. Scheme has placed a special focus on women's empowerment, With 74 per cent of sanctioned houses owned by women solely or jointly.

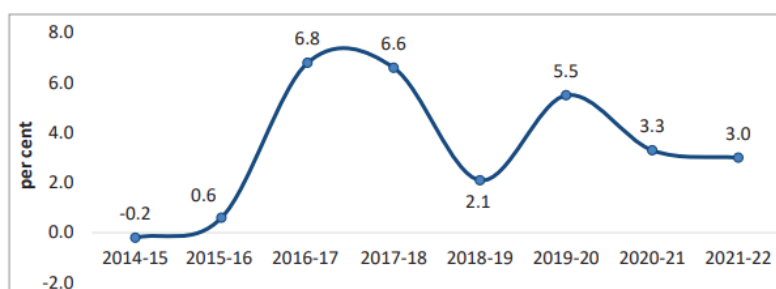
Water and Sanitation

- On the **73rd Independence Day, 15 August 2019, the Jal Jeevan Mission (JJM)** was announced, to be implemented in partnership with States, to provide , tap water connection to every rural household and public institutions in villages like schools, Anganwadi centres, ashram shalas (tribal residential schools), health centres etc.
- Since the launch of the Mission, 12.2 crore households provided with tap water connections under Jal Jeevan Mission (as of 27 January 2025)
- There are 2,160 water quality laboratories, 1,570 of which are accredited by National Accreditation Board for Testing and Calibration Laboratories, ensuring the safety of drinking water.
- **Mission Amrit Sarovar** aimed at developing and rejuvenating of 75 water bodies in each district of the country during the Amrit Varsh - 75th year of independence.
- The mission was launched by the Government on National Panchayati Raj Day in 2022. Against an initial target of 50,000 Amrit Sarovars, a total of 93,291 Amrit Sarovar sites were identified, works commenced on more than 54,047 sites and out of these sites were works began, a total of 68,843 Amrit Sarovars (ponds) constructed under Mission Amrit Sarovar have been constructed.
- **Swachh Bharat Mission Grameen (SBM-G)** achieved open defecation-free (ODF) status in the first phase. Phase II of SBM-G is implemented from 2020-21 to 2024-25, with a focus on converting the villages from ODF to ODF Plus.
- An ODF plus Progress is captured in three categories namely aspiring, rising and model. The goal Of SBM-G Phase-II is to make all the villages ODF Plus, i.e. "Model Category". An ODF Plus village in the model category is one that is sustaining its ODF status, plus having Arrangements for both solid and liquid waste management, observing visual cleanliness (minimal litter, minimal stagnant wastewater and no plastic waste dump in public Places) and displaying ODF plus information, education and communication messages.
- During April to November 2024, 1.92 lakh villages were incrementally declared ODF Plus under the model category, taking the total number of ODF Plus villages to 3.64 Lakh.

Smoke Free Rural Homes

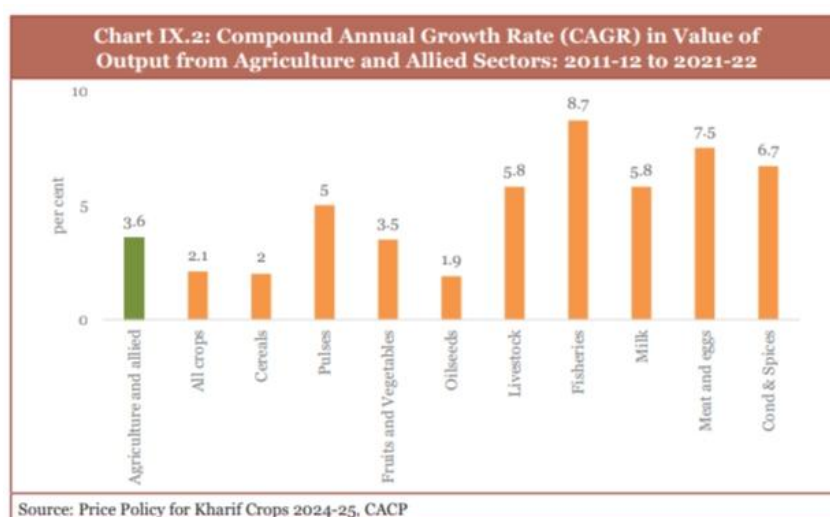
- Use of LPG as cooking fuel frees women from the drudgery of collecting firewood, reduces time spent on cooking and prevents deforestation. As on 01.07.2024, 10.33 Crore **Pradhan Mantri Ujjwala Yojana** connections have been released across the country.
- **Rural Infrastructure**
 - Since its inception, the **Pradhan Mantri Gram Sadak Yojana** helped create (PMGSY) (as of 9 January 2025) 8,34,695 km of road length sanctioned ; 7,70,983 km of road length completed ; 99.6 per cent of the targeted habitations provided connectivity.
 - **SAUBHAGYA- Pradhan Mantri Sahaj Bijli Har Ghar Yojana**, was launched to achieve universal household electrification by providing electricity connections to all willing un-electrified households in rural areas and all willing poor households in urban areas in the country.
 - Pradhan Mantri Sahaj Bijli Har Ghar Yojana (SAUBHAGYA), introduced In 2017, about ₹1.85 lakh crore has been invested to boost distribution infrastructure Across various states. Consequently, 18,374 villages have been electrified under DDUGJY, And 2.9 crore households have gained access to electricity through SAUBHAGYA.
 - The connections were given for free to economically poor households and for others, Rs 500 was charged after the release of the connection in 10 instalments
- **Agriculture**
 - In recent years, the agriculture sector in India has shown robust growth, averaging 5 per cent Annually from FY17 to FY23, demonstrating resilience despite challenges.
 - In the second quarter of the FY25 year, the agriculture sector recorded a growth Rate of 3.5 per cent
 - This sector Contributes approximately 16 per cent of the country's GDP for FY24 at current Prices and supports about 46.1 per cent of the population.
 - Agricultural income has increased at 5.23 per cent annually over the past decade, compared to 6.24 per cent for non-agricultural income and 5.80 per cent for the overall economy.
 - As a major global cereal producer, India accounts for 11.6 per cent of the world's total output.
 - High-value sectors such as horticulture, livestock, and fisheries have emerged as the primary contributors to the overall growth of agriculture. Among these, the fishery sector has demonstrated the highest compound annual growth rate (CAGR) at 13.67 per cent, followed by livestock with a CAGR of 12.99 per cent⁸ during FY15 to FY23.

Despite Covid-19 shock agriculture and allied sector shows resilient growth



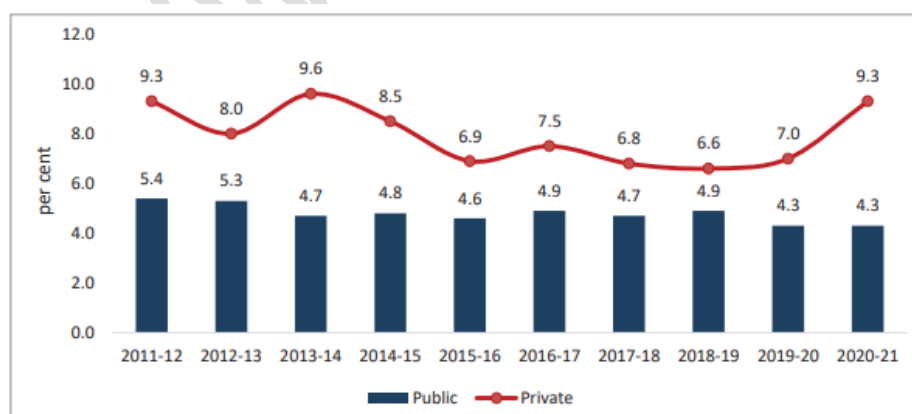
Source: MoSPI's Annual and Quarterly Estimates of GDP at constant prices, 2011-12 series.

Compound Annual Growth Rate in value of Output from Agriculture and allied sectors



Source: Price Policy for Kharif Crops 2024-25, CACP

Crowding in of Private investment in agriculture



Source: Agricultural Statistics at a Glance 2021.

MSP to Ensure Returns Over the Cost of Production

- Accordingly, the Government has been increasing the **MSP for all 22 Kharif, Rabi and other commercial crops with a margin of at least 50 per cent** over the all-India weighted average cost of production since the agricultural year 2018-19.
- For the fiscal year FY25, the MSP for arhar and bajra has been increased by 59 per cent and 77 per cent over the weighted average cost of production, respectively. Moreover, the MSP for Masur has risen by 89 per cent, while rapeseed has seen an impressive increase of 98 per cent

Minimum Support Price for selected Rabi Crops (₹/Quintal)



Minimum Support Price for selected Kharif Crops (₹/Quintal)



Enhanced Access to Agricultural Credit

- the growth in agriculture credit as of 29 November 2024 in the Current financial year was 5.1 per cent.
- Accordingly, the Kisan Credit Card Scheme (KCC) was introduced in 1998 for farmers to empower them to purchase agricultural products and services on credit at any time.
- As of March 2024, the country has 7.75 crore operational KCC accounts with a loan Outstanding of ₹9.81 lakh crore. KCC was further extended to meet the working capital Needs of fisheries and animal husbandry in 2018-19, along with the enhancement of the limit for collateral-free loans to ₹1.6 Lakh. As of 31 March 2024, 1.24 lakh KCC and 44.40 lakh KCC were issued to fisheries and animal husbandry activities, Respectively.

Status of Crop Loan (₹ lakh crore)

